

R&D, manufacturing and business support.

With time, import and export of electronics have significantly increased in the past few years. To become an exporter of technology rather than a buyer, India needs good investment and infrastructure strategies to offer sustainable conditions for R&D centres. Segments that have shown interest in setting their R&D centres in India, factors responsible for growth, role of government and reasons people should invest in R&D in India are discussed below.

Foreign firms choosing India for their R&D centre

Emerging businesses from such sectors as information technology (IT), automobile, pharmaceutical, telecommunications and so on have observed huge prospects, growth and other opportunities in the Indian market, and are now expanding their manufacturing units and R&D centres. Apart from that, many companies have started their captive technology centres in the country to step up R&D in such areas as the IoT, artificial intelligence (AI) and data analytics. For instance, Vyn's India development team is now aiming to ally with renowned centres like IITs to carry out their digital transformation services and research initiatives.

Chinese smartphone makers One-Plus and Oppo have announced plans to open their first R&D facility in India. Foxconn, a Taiwanese multinational electronics contract manufacturing giant, has also decided to set up its R&D centre for advanced industrial AI at Hyderabad.

In the automobile sector, Volkswagen has opened a new R&D facility in Pune. And Nissan Motors has signed a memorandum of understanding (MoU) with Kerala state government to set up its first global centre for digital operations in Thiruvananthapuram.

To counter worldwide hurdles via innovation and technology, a joint programme, India-Sweden Collaborative Industrial Research & Development, has been financed by Indian Department of Science & Technology (DST) and Sweden's Innovation Agency, Vinnova. The two countries

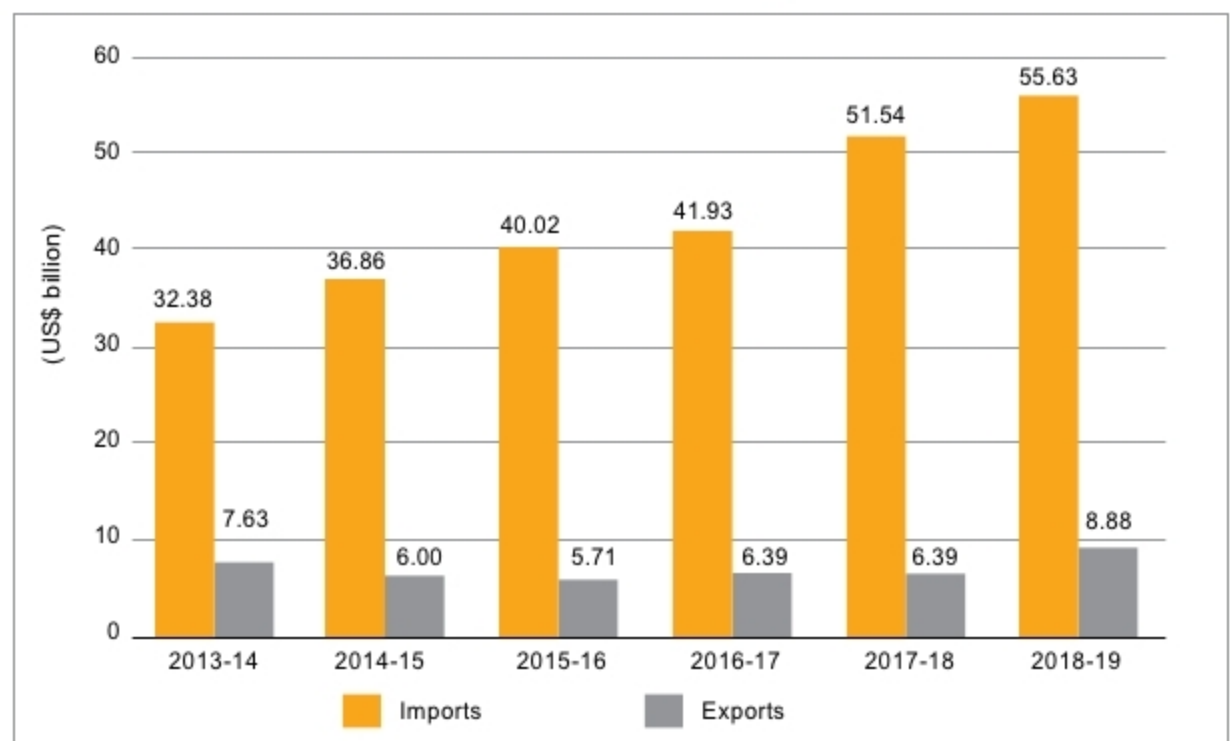


Fig. 1: India's electronics trade over the years (Source: DGCIS)

will together solve problems related to Smart Cities and clean technologies, and digitalisation/the IoT.

SoftBank-backed robotic process automation company, Automation Anywhere, has announced its plans to invest hundred million dollars in India over the next three to five years to expand its capacities in India. The company has also announced its plan to open four new offices in India to support unprecedented customer and partner growth. Automation Anywhere has said that it would set up more R&D centres in India, and focus on training and upskilling more engineers in automation, apart from creating a partner ecosystem to boost adoption of robotic process automation.

India's talented scientists and engineers have helped dozens of MNC tycoons in establishing their R&D centres in the nation. For instance, Xiaomi, Apple and LG have commenced their R&D activities in India with more value addition in employment generation. To help these companies further, the government has

instituted such measures as instant approval for 5G-based R&D activities and field trials.

Benefits of the massive startup ecosystem

Creation of innovative products not only adds new revenue streams but also increases brand visibility. This also opens up avenues for collaboration and public-private partnerships. Make in India, Startup India and other initiatives by the government of India are aimed at promoting an inclusive, vibrant and sustainable ecosystem for R&D and innovation. The government has also initiated a variety of research programmes in different verticals of technology associated with electronics to support the overall growth of the sector.

It is not only cost for which companies are moving R&D in India, they are also outsourcing their corporate R&D by investing more in startup companies. This will help create breakthroughs in innovations that will help parent companies. IBM, SAP, Microsoft and Google have come forward to invest in India and her startups, or form partnerships with premature service providers in the form of venture funds and evangelism programmes, with a focus on solving problems for customers faster.

Overall, MNCs have understood that forming partnerships with startups in India could reduce both time and risks in the market, and craft a large umbrella of endless opportuni-

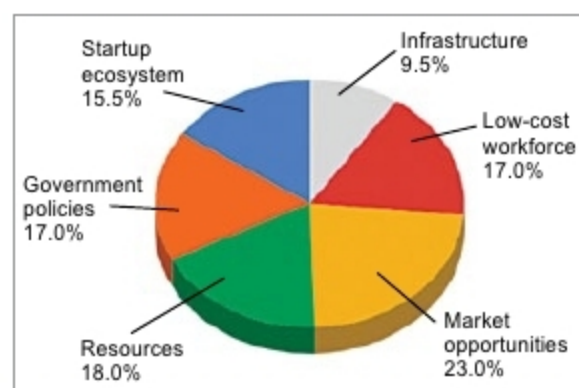


Fig. 2: Factors responsible for R&D growth in India